language, Grigg wrote to Taylor on March 18, 1935: ‘So, I too am in Smith’s black books! Perhaps this is the reason for Master Rangaswami’s showing his teeth in this week’s *Indian Finance*, as it is now clear that the only terms on which one can have that little swine’s support are those of blind acceptance of his half-baked inflationary ideas. Anyhow Smith has too many friends who are raising their inflationary heads for me to take any chances. I am going to explain the position to Monty in advance.’[30] Grigg had also written to Taylor on the subject of Rangaswami’s influence over Smith saying that Smith wanted to be popular and succeeded in being so when he was at the Imperial Bank, but now that he was on his own, he was beginning to realize that no Governor of a central bank could ever be popular, any more than a Finance Member.

Later Grigg, drew Smith’s attention to a complaint from C.P. Ramaswami Aiyar, the dewan of Travancore, in which the latter had complained against Rangaswami’s published speech in regard to persuading Smith to offer help to those banks in Travancore suffering from deposit runs. On May 18, 1936 Grigg wrote to Smith: ‘Isn’t it possible for you to do something drastic to stop him taking your name in vain? He has caused a great deal of trouble between us in the past, and if we aren’t careful he will do so again… think of some way of making it clear publicly that he has no sort of pull with you.’[31]

ACRI‘MONEY’

During Smith’s tenure, the two most important and controversial issues were the rupee-ratio and the bank rate. Grigg was reassured of Smith’s stand on the exchange ratio when he was being considered for Governor. Smith for his part did not ever broach the ratio question either in private or in public but Grigg harboured the suspicion that he was in league with the devaluationists and currency speculators among the Indian businessmen who dominated the RBI Board and local committees of the bank. However, the real controversy between Smith and Grigg was on the appropriate level of the bank rate. Smith favoured a reduction in the rate being of the view that ‘cheap money’ could help during the Depression. The issue was of reducing the bank rate from 3.5 percent to 3 percent and apart from the merits and demerits of such a change, what seems to have been of greater